AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2024

Banking Paper II

Time: 1 hours 50 minutes Marks: 35

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions. Question 10 offers TWO choices. Attempt any ONE choice.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or in erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

Q.1. (Total 3 Marks)

Zara owns an online store. She mostly collects orders through social media platforms and websites. To facilitate her customers, she offers various transactional modes, online banking or other online money transfer applications (for example: easypaisa and jazzcash).

Discuss any THREE challenges she might face while working with e-banking.

Q.2. (Total 3 Marks)

Suppose yourself as a bank account opening officer. You are assigned by your management to develop a brochure for commercial clients and entrepreneurs.

Mention any THREE different utility functions, which you will include in your brochure, that your commercial bank can offer to them.

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Q.3. (Total 3 Marks)

Al-Salam Bank offers a complete range of bank accounts (i.e. saving, current, fixed, basic banking accounts, foreign currency accounts and young saver accounts) to facilitate the different banking needs of its customers.

With reference to the given bank accounts, identify the offers each account provides to the users. (Attempt any THREE).

S.No.	Types of Bank Account	Suitability
1.	Basic banking account / current account	Its offers for basic banking operations (salary transfer-day to day operations) and do not offer any returns(interest).
2.	Saving account	
3.	Fixed account	
4.	Young saver account	
5.	Foreign currency account	

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Q.4. (Total 4 Marks)

Central bank is crucial to national economy, controlling monetary policy to regulate and supervise commercial banking systems.

Suppose Alpha Bank is registered as a commercial bank with the central bank. Which FOUR facilities the central bank will provide to this commercial bank?

Q.5. (Total 3 Marks)

Describe any THREE factors that determine the level of cash reserve for a commercial bank at the central bank to counter the economic fluctuations.

Q.6. (Total 3 Marks)

Explain any THREE essentials of a Bill of Exchange (BOE).

Q.7. (Total 3 Marks)

Junaid Khan is a banking officer. He is responsible for advancing loans to banking customers against receiving the credentials and securities they offered.

Elaborate any THREE essential security credentials he should consider while allotting a business finance.

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Q.8. (Total 3 Marks)

a. Explain any TWO of the following methods of determining foreign exchange rate. (2 Marks)

Fixed _____

_____

Floating _____

_____

Managed _____

_____

b. Identify the method Pakistan opts for the determination of its exchange rate. (1 Mark)

_____

_____

Q.9. (Total 3 Marks)

Differentiate between Islamic banking and conventional banking.

S.No.	Islamic Banking	Conventional Banking
1.		
2.		
3.		

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Q.10. (Total 7 Marks)

EITHER

a. Many governments have set their central banks a target for a low but positive rate of inflation. They believe that persistently high inflation can have damaging economic and social consequences.

Explain FOUR effects (either positive or negative) of inflation can bring to an economy.

OR

b. Atif, a banking officer in the e-commerce department, aims to boost credit and debit card sign-ups. His task is to persuade in-person customers to apply for the bank's cards and meet sales targets.

Suggest any FOUR benefits he should share with the customers to convince them to apply for a Debit or Credit card.

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END OF PAPER

Please use this page for rough work

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